Telecom Retention Strategy and Execution Plan

Goal

Reduce customer churn by identifying high-risk customer segments and applying targeted retention actions before customers leave.

Core Findings and Risk Indicators

Our overall churn rate is 26.5%, but churn is significantly higher among specific customer segments:

Contract Type: Month-to-month customers have a churn rate of approximately 43%.

Tenure: Customers in their first year have the highest churn rate at approximately 48%.

Internet Service: Fiber optic customers show a high churn rate of approximately 42%, indicating a need to investigate service experience and customer value.

Payment Method: Electronic check users have a churn rate of approximately 45%.

Add-on Services: Customers without Online Security or Tech Support have churn rates of approximately 42%.

Highest Risk Customer Profile

The following combination showed an approximately 73% historical churn rate in our analysis: New Customer + Month-to-Month Contract + Fiber Optic + No Online Security + Electronic Check. This segment should receive higher priority for retention initiatives.

Targeted Action Plan

1. Reduce Early Customer Drop off

Build a structured onboarding process for new customers and Provide stronger support during the first few months.

2. Encourage Longer Term Contracts

Month-to-month customers have significantly higher churn and Offer targeted incentives for 12- or 24-month contracts.

3. Improve Fiber Optic Customer Experience

Fiber optic customers show a high churn rate. Review common service complaints and customer feedback, strengthen technical support.

4. Increase Online Security Adoption

Customers without Online Security show higher churn. Promote Online Security during onboarding.

5. Reduce Payment Friction

Electronic check users show the highest churn among payment methods. Encourage automatic payment methods and Make AutoPay setup simple.

Execution Framework

Priority 1: Critical Risk

Target: Customers matching multiple high-risk characteristics, especially the identified high-risk profile.

Action: Prioritize proactive retention outreach, onboarding support, contract conversion offers, and relevant service incentives.

Priority 2: High Risk

Target: New customers, particularly those on month-to-month contracts or showing other high-risk characteristics.

Action: Provide proactive onboarding support, longer-contract offers, and payment-method guidance.

Priority 3: General Retention

Target: Established customers with one or more high-risk characteristics.

Action: Maintain engagement, provide relevant service support, and encourage loyalty.

Operating Model

- Identify high-risk customer segments using churn analysis.
- Prioritize customers based on the number and strength of risk indicators.
- Act with targeted retention strategies.
- Measure changes in churn and retention after implementing the actions.

Final Recommendation

The strongest retention opportunity is early customer intervention, particularly for new customers on month-to-month contracts. The company should focus on better onboarding, longer-contract incentives, stronger support, Online Security adoption, and convenient payment options for high-risk customer segments. This approach can help the business move from simply identifying churn to taking targeted action to improve customer retention.